

DEBT & EQUITY

Affordable Housing Financing Shows Private Credit Is Picking Up Where Agency Debt Leaves Off

A \$95.7M portfolio refi reveals how private lenders are filling the gap for newer, restricted assets.

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A source-grounded Light Tower Insight.

A credit committee reviewing a \$95.7 million financing for two affordable housing properties in Texas would not ask whether the assets are well-located or well-built. Those are table stakes. The question that matters is whether the income restrictions, the capital structure, and the exit timeline align well enough to justify the risk.

The deal that Cushman & Wakefield arranged for Sundance Bay, a Salt Lake City-based investment firm, is a revealing test of that question. The portfolio consists of Grove East, a 324-unit garden-style property in Humble north of Houston, and Rowlett Station, a 302-unit midrise building northeast of Dallas. Both were built in 2021 and are subject to Housing Finance Corp. (HFC) income restrictions. The financing is split into a \$76.2 million senior loan from Benefit Street Partners and a \$19.5 million mezzanine tranche from CCL Capital.

The structure matters more than the total. A 20.5 percent mezzanine slice is not a small cushion. It tells you that the senior lender wanted a thicker equity layer beneath its position, and that the mezzanine lender was willing to underwrite the residual cash flow at a higher yield. The combined loan-to-value is not disclosed, but the mezzanine piece alone suggests the senior lender capped its exposure at a level that required subordinate capital to close the gap.

Why now? The properties were built in 2021, which means they are likely past the initial lease-up and stabilization period. The HFC restrictions limit rent growth, but they also limit competition from newer supply and can improve tenant retention. For a private credit lender, that trade-off is acceptable if the basis is right and the sponsor has operating credibility.

Benefit Street Partners is not a newcomer to CRE debt, but its presence here signals something about the agency lending environment. Fannie Mae and Freddie Mac remain the dominant sources of affordable housing financing, but their execution times, rate locks, and fee structures do not always fit a portfolio that needs speed or a customized capital stack. Private credit fills that gap, but at a price. The senior debt likely carries a spread above agency

execution, and the mezzanine piece adds another layer of cost.

The borrower, Sundance Bay, is accepting that cost for a reason. It may be refinancing a maturing loan, buying out a partner, or repositioning the portfolio for a future sale. The mezzanine tranche gives it flexibility without diluting equity, but it also adds a fixed charge that the cash flow must support. If the properties are performing at or above underwriting, the structure works. If operating expenses rise faster than restricted rents, the mezzanine payment becomes a constraint.

This is the kind of transaction that appears when agency debt is available but not optimal for the borrower's timeline or the asset's risk profile. Private credit is not replacing the agencies. It is complementing them in the gap between what the agencies will lend and what the borrower needs. That gap tends to widen when rate volatility makes agency rate locks expensive or when the borrower wants to avoid the prepayment penalties and recapture provisions that come with tax-exempt bond financing.

The market signal is narrower than a headline about affordable housing demand. It is a signal about capital structure innovation in a constrained rate environment. Lenders that can underwrite restricted cash flow and structure subordinate debt are finding opportunities that plain-vanilla senior lenders cannot touch. Borrowers that can accept the higher cost of that capital are gaining access to liquidity that keeps their options open.

The open question is what happens at maturity. The mezzanine piece likely has a shorter term than the senior loan, which means the borrower will need to refinance or repay that tranche before the senior debt comes due. That creates a refinancing event that depends on the same conditions that made the mezzanine necessary in the first place: agency execution, rate levels, and property performance. If those conditions improve, the borrower can replace the mezzanine with cheaper capital. If they worsen, the mezzanine lender faces a decision about extension or enforcement.

For now, the deal works because the assets are new, the restrictions are manageable, and the

sponsor has a plan. That is not a vote of confidence in affordable housing broadly. It is a vote of confidence in this basis, this structure, and this moment in the rate cycle. The next test will come when the mezzanine matures and the borrower has to prove that the cash flow can support the next capital event.